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Success story



Dr. Arokiaswamy Velumani

Landless farmer's son to owner of ₹2158 crores business empire. Velumani was so poor that he sought government subsidy to go through school and college. Today, he is the owner of the world's largest thyroid testing company, that boasts of 1,122 outlets across India, Bangladesh, Nepal and the Middle East!

He started his career as a shift chemist at Gemini Capsules, a small pharmaceutical company in Coimbatore, in 1979 and earned a measly sum of ₹150 every month. The curtains came down on the company three years later and Velumani found himself without a job.

After 14 years of servitude at BARC, Velumani resigned his job. He decided to channel his expertise in thyroid biochemistry to set up testing labs that detected thyroid disorders. With ₹1,00,000 from his provident fund, Velumani, at the age of 37, opened a shop in Byculla, South Mumbai.

Thyrocare is worth ₹3,377 crores (on may 2016) and has made its debut on Indian bourses. Velumani owns a 64% stake in the company, which makes him worth ₹2,158 crore!

But it doesn't end there for Velumani and his team. Thyrocare is also working towards developing a subsidiary to focus on cancer screening through molecular imaging.

4 **Dealings:** A wholesaler generally sells goods to retailers on credit. But a retailer usually sells goods to end consumers on cash basis.

5 **Purpose of Selling:** A wholesaler sells goods for resale. On the other hand, a retailer sells goods for ultimate consumption or use.

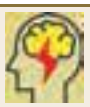
6 **Source of Supply:** A wholesaler buys goods from manufacturers and their agents in large quantities. On the other hand, a retailer generally buys goods from wholesalers and their agents in small quantities.

7 **Location:** A wholesaler operates his business in big commercial cities and expand his business to different areas. A retailer operates in a smallest village and also big cities and locates his business in particular place of area.

Concludingly channels of distribution facilitate transfer of goods and services. It enables free flow of goods and services from the producer to consumers.

Key Terms

Channel of distribution, Auctioneers, Mercantile agent, Warehouse keepers, Merchant middlemen Wholesalers, Retailers Retail trade



For Own Thinking

1. Student should visit a nearby wholesale trade unit and watch the trading activities held there.
2. Student should visit a nearby two-wheeler showroom and watch which type of channel of distribution followed by them.